Warning: unaudited AI claims entering civilian infrastructure

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AI capability claims are reaching infrastructure buyers faster than anyone can check them. Systems bought on false or overstated claims are going into civilian decision loops. The thresholds where this turns into cascading failure have not been defined or measured. This doc marks the mechanism, the welds, the gaps, and the experiments needed (PROPOSED unless tagged).

Observed conditions

- The FTC brought more than a dozen "AI washing" cases last year (Holland & Knight, Aug 2026). That count is small against the volume of AI claims in circulation. OBSERVED
- The FTC has curtailed enforcement related to the actual capabilities of AI products, under a "dual approach" since EO 14179 (Holland & Knight, Aug 2026). OBSERVED
- Enforcement comes after the fact; the substantiation rule requires evidence before a claim is made, but it is checked only when a case is brought. OBSERVED
- The same claim can circulate as both "reduce" and "eliminate" (Binghamton news release, two headlines). "Eliminate" is a false claim when the protocol doesn't support zero. OBSERVED
- AI is increasingly writing, reading, and auditing marketing claims, so the auditor and the audited share a model family. OBSERVED/DERIVED

Cascade mechanism

1. Unsubstantiated claims reach procurement (utilities, hospitals, municipalities, logistics).
2. Purchases are made on the claim, and decisions run on oversold systems.
3. Failures surface later as events and get attributed to operators, not to the claim.
4. Honest vendors lose sales, so the market selects for overclaiming.
5. Trust erodes, and the response is more AI auditing AI: a common-mode loop.

Candidate threshold variables (PROPOSED, unmeasured)

No numbers are given. Each variable needs measurement before any threshold can be stated.

Variable	What crossing it would mean
Claim volume ÷ enforcement capacity	Checking falls far enough behind that false claims are effectively free
Share of critical decisions running on unsubstantiated systems	Failures stop being isolated and begin to couple
Vendor concentration across infrastructure	The same system or claim deployed across many utilities or towns, so one false claim becomes a common-mode failure
Detection lag vs. failure propagation time	Failures spread faster than they are attributed and corrected
Manual fallback skill floor	Operators can no longer run the process by hand when the system fails (black start dependency)
Attribution accuracy	Failures blamed on operators instead of claims, so the cause never gets corrected

Welds to separate

Term	Objects welded together
"hallucination-free" / "eliminate"	Reduced vs. zero; schema-valid vs. correct
"verified" / "audited"	Checked by an independent source vs. checked by another model from the same family
"AI-powered"	A tested capability vs. a label
"enforcement exists"	A rule on the books vs. a rule applied at the needed rate

Gaps

- No measure of the overall rate of false AI claims in infrastructure procurement.
- No record linking infrastructure failures back to the claims the systems were bought on.
- No defined independent auditor (N+1) for AI-on-AI verification.
- No count of how many critical decisions now run on systems bought on claims.

Experiments and evidence needed

1. Sample public procurement records for AI systems, and check each capability claim against independent test results.
2. Trace a set of incidents back to the system claims, measuring attribution accuracy.
3. Map vendor concentration across utilities and municipalities in one region.
4. Measure detection lag: time from claim publication to enforcement action, set against deployment speed.
5. Test operators' manual fallback capability where AI systems have been deployed.

Sources

- Holland & Knight, "Operation AI Comply" 2 years later (Aug 2026)
- Holland & Knight, FTC's current approach to AI regulation (Aug 2026)
- Binghamton News, "reduce" headline · "eliminate" headline